REPORT ON INTERNSHIP TRAINING

At

MANGALORE REFINERY AND PETROCHEMICALS LIMITED, MANGALORE

(A Subsidiary of Oil and Natural Gas Corporation Ltd)

SUBMITTED BY

NITHESH K (P05AZ23M015034)

DEPT. OF BUSINESS ADMINISTRATION (FINANCE)

UNDER THE GUIDENCE OF

Mr. B KARTHIKEYAN

Chief General Manager (finance dept.)

Mangalore Refinery and Petrochemicals Limited,

Mangalore

MANGALORE REFINERY AND PETROCHEMICALS LIMITED, MANGALORE

CERTIFICATE

This is to certify that Nithesh K (P05AZ23M015034), students of the Master of Business Administration in Finance (3rd Semester) at Mangalore University, successfully completed their internship training at Mangalore Refinery and Petrochemicals Limited (MRPL) in Mangalore. The internship period spanned from 13th December 2024 to 13th January 2025.

During this time, they gained valuable practical experience and acquired essential insights into various aspects of financial operations, enabling them to comprehend and analyze the flow of capital and financial resources within the organization. Their engagement in this hands-on training helped them understand the dynamics of financial management, budgeting and cash flow management that drive business success.

Mr. B KARTHIKEYAN
Chief General Manager
Finance Department
Mangalore Refinery and
Petrochemicals Limited
Mangalore

Mr. BURI PARASURAM
General Manager
Finance Department
Mangalore Refinery and
Petrochemicals Limited
Mangalore

DECLARATION

I am, Nithesh K (P05AZ23M015034), hereby declare that the Internship Report presented by me is the result of our original work undertaken as part of the requirements for the Master of Business Administration (MBA) program. This report has been prepared under the supervision and guidance of Mr. B Karthikeyan, Chief General Manager of the Finance Department.

We further declare that this report has not been submitted previously, in whole or in part, for the award of any degree or diploma at Mangalore University or any other institution.

NITHESH K (P05AZ23M015034)

Date: 13-01-2025
Place: Mangalore

ACKNOWLEDGEMENT

We would like to express our heartfelt gratitude to Mangalore Refinery and Petrochemicals Limited (MRPL) for providing us with a comprehensive and well-structured Internship Training Program. The internship at MRPL has been instrumental in bridging the gap between the theoretical knowledge we gained in college and its practical application in the industry.

We would like to extend our sincere thanks to Mr. B. Karthikeyan, Chief General Manager of the Finance Department, for his valuable guidance and insights throughout the program. We are also deeply grateful to the senior officials of the Finance Department for their support and for the various informative sessions they organized, which greatly enhanced our learning experience.

Additionally, we would like to acknowledge Mr. Buri Parasuram General Manager of the Finance Department for his wonderful support and for organizing several insightful classes that contributed significantly to our understanding. His efforts in ensuring a smooth and enriching learning experience are greatly appreciated.

This internship has been an incredibly rewarding experience, and we are truly thankful for the exposure and knowledge we gained during our time at MRPL.

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INTRODUCTION

Mangalore Refinery and Petrochemicals Limited (MRPL), is division of Oil and Natural Gas Corporation (ONGC) which is under the ownership of the Ministry of Petroleum and Natural Gas of the Government of India established in 1988, the refinery is located at Katipalla, North from the center of Mangalore. The refinery was established after displacing five villages, namely Bala, Kalavar, kuthetoor, Katipalla, and Adyapadi.

The refinery versatile design with high flexibility to process crudes of various API gravities with a high degree of automation. MRPL has a design capacity to process 15 million metric tons per annum and is the only refinery in India to have two hydrocrackers producing premium diesel. It also has a polypropylene unit with a capacity of 440000 million tons per year. It is one among the two refineries in India to have two CCRs producing high octane unleaded petrol. Currently, the refinery processes around 14.65 million tons of crude per year. The company revenues stood at rupees 60062.02 crore (US$8.4 billion) in 2020.

PERFORMANCE OF MANGALORE REFINERY AND PETROCHEMICALS LIMITED.

(A Government of India Enterprise and a Subsidiary of ONGC Limited)

The Board of Directors of MRPL has presented the 36th Annual Report for the financial year 2023-24 to its shareholders and highlighted key performance achievements for the year.



Shri Arun Kumar Singh
Chairman of MRPL

Financial Performance

The company achieved a turnover of ₹1,05,190 crore during the financial year 2023-24, compared to ₹1,24,686 crore in the previous financial year 2022-23. The company earned a profit after tax of ₹3,596 crore in 2023-24, up from ₹2,638 crore in 2022-23.

An interim dividend of ₹1 per share was paid, and the Board has recommended a final dividend of ₹2 per share, resulting in a total dividend of 30% for the financial year 2023-24.

The Gross Refining Margin (GRM) for the financial year 2023-24 was US $10.36 per barrel, compared to US $9.88 per barrel in 2022-23.

The company received a rating of "AAA" from ICRA and CRISIL for its ₹2,060 crore Non-Convertible Debentures (NCDs), and an "AAA" rating from CARE and India Ratings (Fitch Group) for its ₹5,000 crore NCDs.

The Debt-Equity ratio improved significantly, decreasing from 1.70 as of March 31, 2023, to 0.94 as of March 31, 2024.

Physical Performances

The mandatory Maintenance and Inspection (M&I) shutdown of Phase III Refinery units and Hydrocracker Unit 1 was successfully completed, and all units were safely restarted.

The refinery achieved a throughput of 4.416 million metric tons (MMT) during Q1 of FY 2023-24, marking the highest-ever first-quarter throughput for any year. The previous record was 4.325 MMT in Q1 of FY 2022-23. Additionally, the refinery set a new record for the highest-ever quarterly crude throughput in Q4 of FY 2023-24, reaching 4.51 MMT, surpassing the previous best of 4.42 MMT in Q4 of FY 2015-16.

For ensuring safety, integrity, and optimal availability of the units, the Aromatic Complex operated in Para-xylene mode for approximately 17 days.

The refinery also processed new types of crude for the first time during FY 2023-24, including Siberian Light Crude (Russia), KG D6 Crude (Ruby FPSO, India), and KG DWN 98/2 Crude (India).

The company has assessed the potential impact of the Russia-Ukraine war and has confirmed that there is no material effect on the carrying amounts of Property, Plant, and Equipment, Inventories, Receivables, and Other Current Assets.

Safety

- The company successfully managed a large-scale shutdown of the entire Phase-III Refinery and Aromatics unit, which required a lot of workers, and everything was completed without any incidents.
- New technologies were used to improve safety, like drones and artificial intelligence to monitor safety conditions, and a special platform (called Mast Climbing Working Platform) to safely paint tall stacks at the refinery.
- A mock emergency drill was held at the refinery with local disaster management authorities to practice handling any potential accidents.
- External safety experts from different organizations (OISD, Consultivo, and QSS) reviewed and audited safety at both the Refinery Complex and Aromatics Complex for the year 2023-24 to ensure safety standards were met.

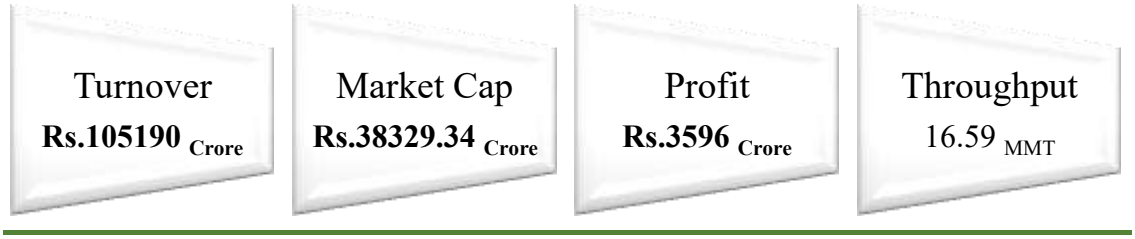
Direct Marketing

Direct Sales: MRPL holds a leading position in selling petroleum products like Bitumen, Diesel, Sulphur, and others in Karnataka and neighboring states. In FY 2023-24, the company sold a total of 2.6 million metric tons (MMT) of products, earning ₹15,408 Crore, up from 2.3 MMT and ₹13,428 Crore in FY 2022-23.
Retail Expansion: By the end of March 2024, your company increased its retail network to 101 outlets in Karnataka and Kerala. For the first time, your company also announced plans to expand its retail presence in Tamil Nadu, alongside Karnataka and Kerala. Additionally, your company plans to enter the states of Andhra Pradesh and Telangana with new dealerships in FY 2024-25.

Polypropylene Sales: Company sold 384 thousand metric tons (TMT) of polypropylene in FY 2023-24, close to its production of 389 TMT. The company has been expanding its market by targeting small and medium-sized businesses and setting up MRPL Depots in high-demand areas. Your company also introduced a new grade of polypropylene for specific uses, like thin-walled plastic molding.

Aviation Fuel Sales: Through its joint venture Shell MRPL Aviation Fuel and Services Limited (SMAFL), your company has been steadily growing its sales of Aviation Turbine Fuel (ATF) at airports in South India. The joint venture achieved a turnover of ₹2,087 Crore in FY 2023-24, up from ₹1,620 Crore in FY 2022-23.

HIGHLIGHTS



VISION AND MISSION

VISION

To be a world-class Refining and Petrochemicals Company, with a strong emphasis on Productivity, Customer Satisfaction, Safety, Health and Environment Management, Corporate Social Responsibility and Care for Employees

MISSION

- Sustainable leadership energy conservation, efficiency, productivity and innovation.
- Emerging opportunities of capitalization in domestic and international market.
- Strive to meet customer requirements to their satisfaction
- Maintain global standards of health, safety and environmental standards and strong commitment towards community welfare.
- Constant focus on employee welfare and employee relations.
- Adopt the highest standards of business ethics and values

Products profile

The production details are given below:

Crude	**MT**
Crude processed	16533435
Products	**MT**
LPG	10,27,834
POLYPROPYLENE	3,89,065
MS VI	20,41,281
MS 95 RON	2,13,610
XYLOL (XYLENE)	5,676
NAPHTHA	49,372
SKO	49,232
MTO	149
HSD	44,61,459
HFHSD	17,43,863
ATF	20,90,892
VGO	2,71,852
MFO	2,26,010
FO	66,347
BITUMEN	1,25,522
PET COKE	8,16,412
SULPHUR	1,87,072
PARAXYLENE	18,821
BENZENE	1,30,940
HEAVY AROMATICS	956
REFORMATE	8,30,875

These are the various products produced by the MRPL this has been classified into 4 parts

- Light distillates
- Middle distillates
- Heavy distillates
- By products

LIGHT DISTILLATES:

Liquefied Petroleum Gas

It is used as an effective and pollution free fuel for domestic purposes and commercial purposes.

Naphtha

It is typically used for refinery processes to produce or to improve gasoline. It can also be used to produce or to improve gasoline. It is also used to produce petrochemicals. Also used in fertilizer and petrochemical industries.

Moter Spirit
More commonly called petrol. It is the fuel for two wheelers and cars, MRPL is the only company to produce unleaded petrol from day one of production. It is also the First refinery in India to release EURO III MS.

MIDDLE DISTILLATES
Kerosene
It is used by people in the villages as a source of electricity and it is also used as fuel.
Aviation Turbine Fuel
It is used as fuel in domestic and defense aircrafts. It as to undergo stringent laboratory tests before being dispatched.
High Speed Diesel
It is used in heavy vehicles, trucks, tankers, railways etc.

HEAVY DISTILLATES
Fuel Oil
It is used in furnaces and boilers.
Bitumen
MRPL produces different grades of bitumen used in laying roads, highways and airport roads.

BY PRODUCT
Sulphur
This is directly dispatched from the Sulphur recovery units by trucks. Sulphur is a product and is used in chemicals, drugs, and fertilizer units. It is extracted to control pollution.

JOINT VENTURES

- Shell MRPL Aviation
- Shell MRPL Aviation Fuels and Services Limited is a 50:50 Joint Venture Company with Shell
- Marketing ATF in airports
- Operations in over 11 Airports

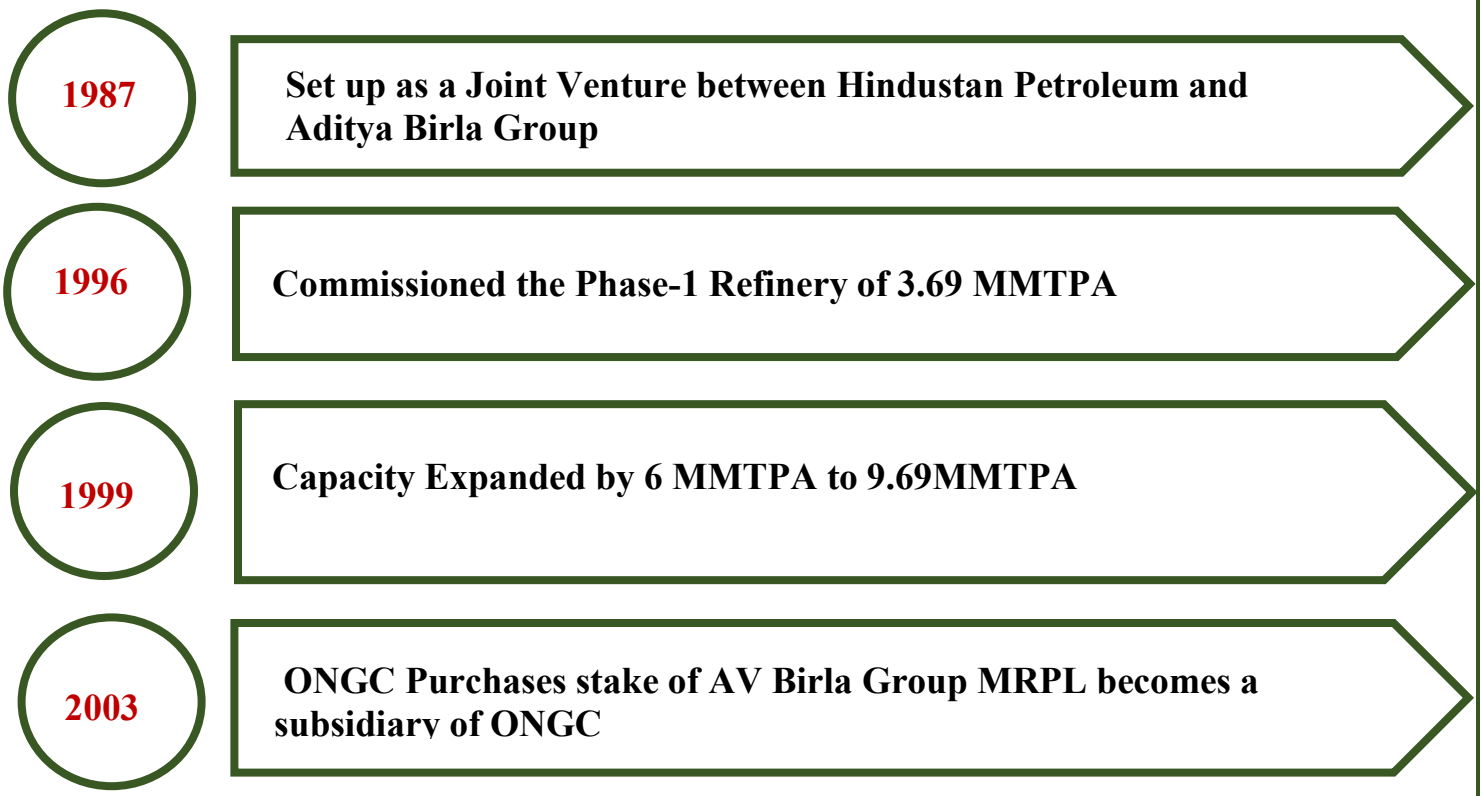
Shell MRPL Aviation Fuel Services Limited (SMAFSL).

The Company has Joint Venture viz. Shell MRPL Aviation Fuel Services Limited (SMAFSL) with Shell B.V. Netherlands wherein the Company holds 50% of share capital and the balance is held by Shell Gas BV, The Netherlands. The accounts of SMAFSL have been consolidated with MRPL's Accounts. SMAFSL supplies aviation turbine fuel (ATF) to both domestic and international airlines at several Indian airports and acts as a contracting Company for Indian carrier's International Aviation Fuel requirements. The total income for FY 2023-24 is 2121.16 Crores as against 1633.39 Crores in FY 2022-23 with Pre-tax profit of 40.90 Crores (Previous Year 100.93 Crores) and post-tax profit of 30.80 Crores (Previous Year 75.22 Crores).

Mangalam Retail Services Limited (MRSL).

During2017-18, the Company reduced its shareholding in Mangalam Retail Services Limited (MRSL) to 18.98% and accordingly MRSL presently is not an associate Company of MRPL. MRSL has not yet started commercial operations.

HISTORY OF MRPL



2005	MRPL Becomes a Public Sector Undertaking
2013	Upgraded as a Schedule A PSU
2014	Phase-3 Expansion Completed. Capacity Expands to 15 MMTPA
2015	Polypropylene Unit Commissioned
2021	Desalination Plant Commissioned BSVI Up gradation
2022	OMPL amalgamated with MRPL

SWOT ANALYSIS

(STRENGTH, WEAKNESS, OPPORTUNITIES AND THREATS)

Strengths

The presence of three different crude trains as part of the refinery configuration is ensuring versatility in processing different grades of crude from across the globe. This provides flexibility and opportunity in crude buys from favorable markets round the year. The superior technologies that MRPL has invested in deliver products at lower costs. MRPL also has the design to procure secondary feedstock to produce high value products. With petrochemicals, income is diversified and MRPL is gaining from an expanding market. The refinery design is well suited to repurpose for olefin or aromatic pathways for the future. The present gap between oil demand and low carbon alternatives is enabling MRPL to craft its strategy for income diversification without risking financial stability. Initiatives in operational efficiency and reduction of emissions are directly related and MRPL operations are aimed at these pivotal metrics. The refinery is advantaged with certain specific units which require minimal or limited changes to hydro treating or separation sections for feed co-processing for Bio-Fuels manufacture. Green Hydrogen is intended to replace Grey Hydrogen used in refinery processes. This would have collateral benefit of freeing naphtha for use as a petrochemical feedstock.

Weaknesses

MRPL has been largely dependent on the Oil Marketing Companies in the past and it is strategizing to reduce that dependency. The company is expanding its Retail Footprint. This would take it through a growing and competitive domestic market. MRPL faces changing market conditions driven by climate challenges and environmental regulations. The global trend may be to move away from fossil fuels in transportation but petrochemicals would still require fossil feedstock for decades. The design of the refinery has flexibility to integrate higher petrochemical production when fuel demand tapers in the future. The success of the Alternate Fuels business depends on site location, vicinity to feedstock and know-how to deliver max value with minimum technical solution. The company is assessing its Alternate Fuels portfolio along these lines. The long-term strategies comprising Petrochemicals, Bio Fuels, Alternate Energy and Net Zero Actions are complex requiring significant capital through external financing to navigate energy transition.

Opportunities

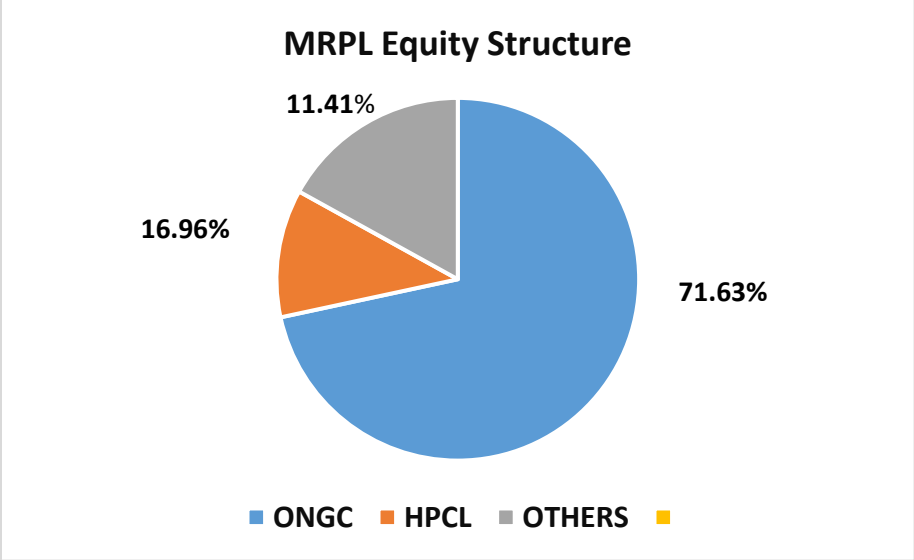
Regional imbalances would be seen across the world in demand growth of oil for fuels. India is expected to see continued demand in the next two decades. The pace of industrialization would contribute to this growth in Gasoil, Aviation Fuel and Motor Spirit. Despite the increase in electric vehicles and efficiency improvement programs, demand is projected to translate to an increase in refining capacity by 1 mb/day by 2030. Without these gains the refining capacity demand would be higher up to 1.5 mb/day. The petrochemical consumption in India, being well below world average, is increasing with urbanization and emergence of a wealthier middle class. MRPL's refining capacity and its complexity is boosting light and middle distillate production through processing of sour and heavy crudes. MRPL is revisiting its business model, asset base and technology options. It is aimed at asset utilization with option to integrate into chemicals, renewable fuels and other emerging areas. MRPL aims petrochemical growth over the medium term. Green Fuels are gaining momentum. These drop-in fuels serve to decarbonize transportation. MRPL is planning to incorporate Bio-ATF and 2G Ethanol technologies in the near term. 8.2.

Threats

More than 50% of the products manufactured by MRPL are transportation fuels. Although India is predicted to be amongst the last of the big economies to wean away from oil, there are sign-posts for refineries for future readiness. Asset integration, proximity to markets, product diversification and energy costs are key. Energy costs are interlinked with crude costs. MRPL is undertaking a significant augmentation of its grid power infrastructure that would allow it to decouple from crude costs and lower its energy costs. MRPL's plans have to be symmetric with commercial opportunities. The petrochemical growth rate in India is projected to be 1.4 times the GDP growth rate. MRPL would align accordingly. Bio-Fuels and Green Hydrogen technologies are maturing and capital allocation has to be weighed. The company would be staging its investments in these areas.

Equity Structure of MRPL

Mangalore Refinery and Petrochemical Limited (MRPL) is an oil refinery at Mangalore and is a subsidiary of ONGC, set up in 1988. The refinery is located at Katipalla north from center of Mangalore city. The refinery was established after displacing five villages of Bala, Kalavar, Kuthethoor, Katipalla, and Adyapady.



Shareholding Pattern as on 31/03/2024:

Particulars	No. of Shares	Percentage
Oil and Natural Gas Corporation Limited	1255354097	71.6281
Hindustan Petroleum Corporation Limited.	297153518	16.9550
Resident Individuals	98422741	5.6158
Non-Resident Individuals	6398876	0.3651
Domestic Companies	2711291	0.1547
Foreign Inst. Investor / Foreign Portfolio Investor (Corporate) / Foreign Nationals	46982069	2.6807
GIC & Subsidiaries/ Banks/ Foreign Bank & Financial Institutions/ Insurance /Mutual Funds/NBFCs registered with RBI	26326741	1.5021
Investor Education and Protection Fund	17345100	0.9896
Central/ State Govt. Institutions	6182	0.0003

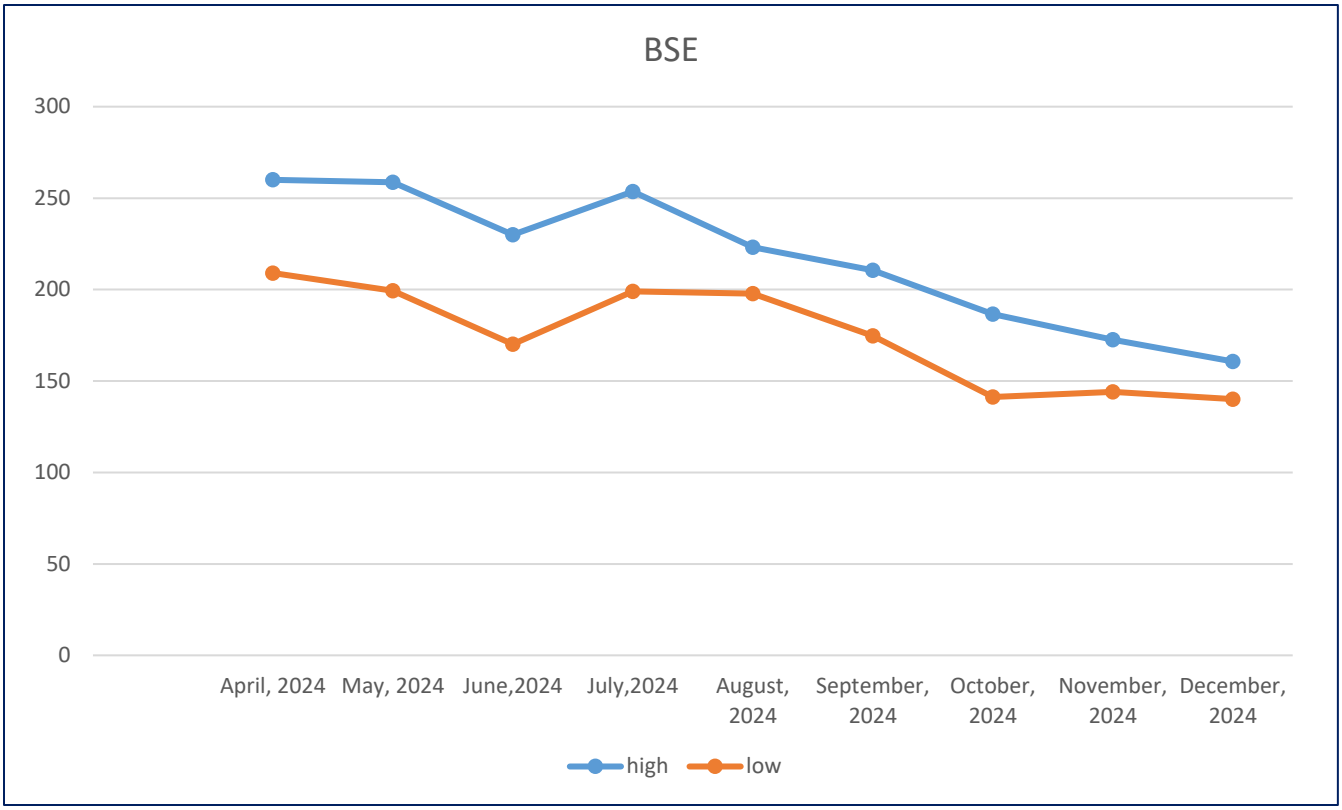
Trusts	35901	0.0020
Clearing Members	16112	0.0009
Hindu Undivided Family	1846149	0.1053
Total	**1,752,598,777**	**100.00**

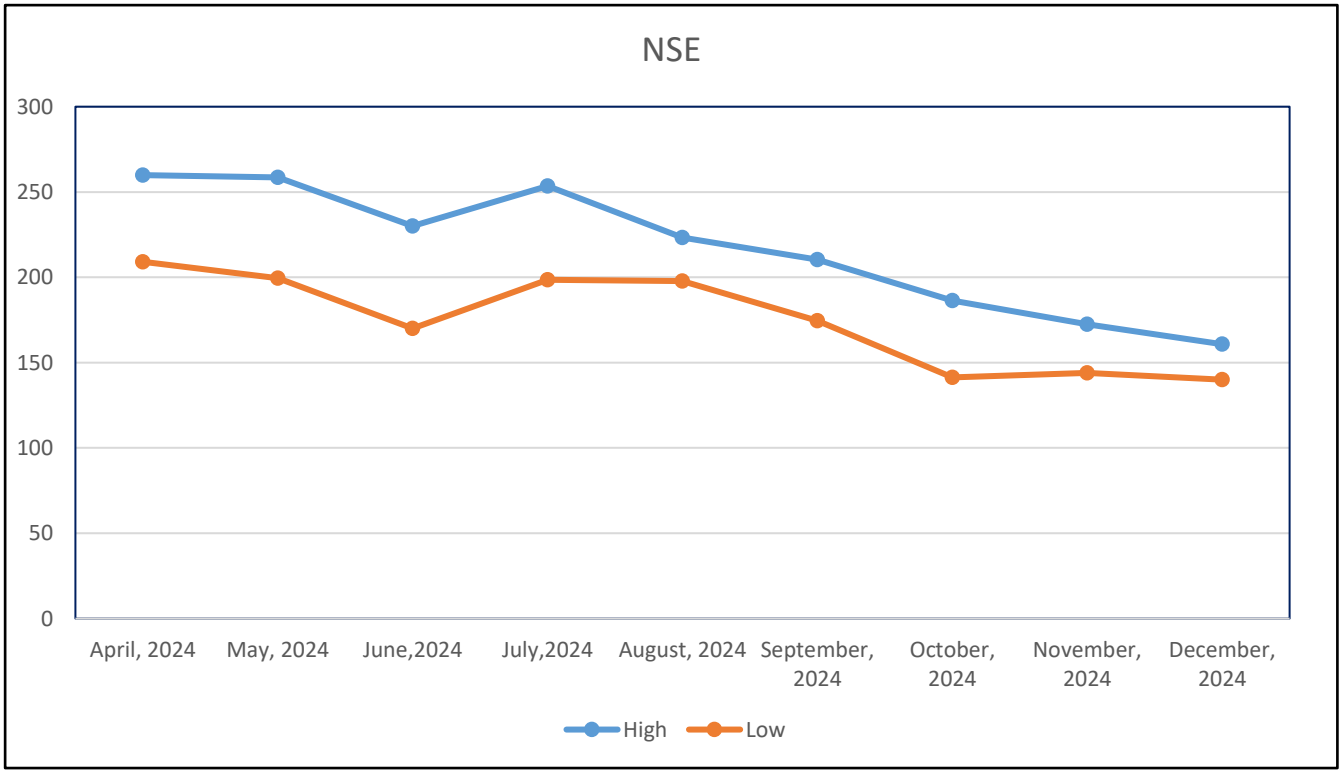
MRPL which was a joint sector company, become a PSU subsequent on acquisition of its majority shares by ONGC. As on 1st April 2024, 71.63% shares are held by ONGC, 16.96% shares held by HPCL, and remaining shares are with public and financial institution. MRPL has also been declared as Minirathna, a mini jewel, by Government of India in 2007.

The refinery was conceived to maximize middle distillates, with capability to process light to heavy and sour to sweet crudes with 24 to 46 API gravity. On 28 march 2003, ONGC acquired the total shareholding of A.V. Birla Group and further infused equity capital of Rs.6 billion thus making MRPL a majority-held subsidiary of ONGC. The lenders also agreed to the debt restructuring package (DRP) proposed by ONGC, which included, inter alia, conversion up to Rs.36554884 crore of their loans into equity. Subsequently, ONGC has acquired equity allotted to the lenders pursuant to DRP raising ONGC's holding in MRPL to 71.63%.

Market price data

	BSE Limited		National Stock Exchange	
Month	High	Low	High	Low
April, 2024	260	209.05	259.9	209.1
May, 2024	258.75	199.35	258.6	199.5
June,2024	230	170.1	230	170.1
July,2024	253.55	198.95	253.56	198.5
August, 2024	223.2	197.7	223.38	197.88
September, 2024	210.5	174.65	210.35	174.6
October, 2024	186.65	141.24	186.45	141.37
November, 2024	172.5	144.05	172.5	144.05
December, 2024	160.7	140.1	160.8	140.02


BSE
300
250
200
150
100
50
0
April, 2024
May, 2024
June,2024
July,2024
August, 2024
September, 2024
October, 2024
November, 2024
December, 2024
high
low


NSE
300
250
200
150
100
50
0
April, 2024
May, 2024
June,2024
July,2024
August, 2024
September, 2024
October, 2024
November, 2024
December, 2024
High
Low

RELATED PARTY DISCLOSURES

A) Oil and Natural gas corporation Limited (ONGC)

- ONGC is the holding company and has control over MRPL. In 2003, ONGC acquired a majority stake in MRPL by buying out the Aditya Birla Group and making additional investments. Currently, ONGC holds 71.63% of MRPL's shares.

B) Hindustan Petroleum Corporation Limited (HPCL)

- HPCL having significant influence over the company. It held 16.95% of shares in MRPL.

C) Shell MRPL Aviation Fuels and Services Limited (SMAFSL)

- MRPL has a joint venture with Shell for Aviation fuels and services. The joint venture combines Shell's global network customer base and quality control procedures with MRPL's expertise and procedures.

D) Subsidiary of Holding Company

a) ONGC Videsh Ltd. (OVL)

- ONGC holds 100% stake in ONGC Videsh Ltd, In the year 2002-03, after taking over MRPL from the Birla group, ONGC diversified into the downstream sector. ONGC also entered the global field through its subsidiary ONGC Videsh Ltd. OMGC has made major investment in Sakhalin, Columbia, Venezuela, Sudan etc.

b) Petronet MHB Ltd (PMHBL)

- Petronet MHB Ltd is a joint operates venture between ONGC and HPCL that operates a pipeline for transporting petroleum products in Karnataka. PMHBL transports petroleum products like petrol, diesel, Kerosene, Naphtha and Aviation fuel from the MRPL to oil marketing company Terminals in Hassan and Devangothi (Bangalore).
- PMHBL was incorporated on July 31 1998. The 362.3km long pipeline was commissioned in August 2003.

c) ONGC Nile Ganga BV

- ONGC Nile Ganga BV, a subsidiary of ONGC Videsh Ltd. (the international exploration arm of ONGC), is involved in upstream oil and gas exploration and production, focusing on regions like Egypt's Nile Delta. As part of ONGC's global portfolio, it plays a crucial role in securing oil and gas resources internationally.
- This relationship facilitates the procurement of crude oil from ONGC Nile Ganga BV's international exploration activities, which can be supplied to MRPL for refining. In turn, MRPL's petroleum products

are vital to fulfilling both domestic and international demand, supporting ONGC's broader energy operations. Through this synergy, ONGC optimizes its upstream production with downstream refining capacity, ensuring a smooth, efficient supply of energy resources for India and beyond.

E) Joint Venture of Holding Company

a) Mangalore SEZ Limited (MSEZL)

- Mangalore SEZ Limited (MSEZL) and Mangalore Refinery and Petrochemicals Limited (MRPL) are closely connected. MRPL operates near MSEZL, taking advantage of the infrastructure and tax benefits offered by the Special Economic Zone (SEZ). This helps MRPL improve its refining and petrochemical processes while boosting the region's industrial growth. MSEZL supports MRPL and other industries in the area by promoting industrial development.

b) ONGC Petro Additions Limited (OPAL)

- OPAL and MRPL are both subsidiaries of ONGC, and their relationship is based on mutual ownership and operational synergies within the oil and gas sector. OPAL focuses on petrochemical production, while MRPL is involved in refining petroleum products. Their close proximity and shared resources help them complement each other, especially in refining raw materials and producing petrochemical products. This collaboration strengthens India's position in the petrochemical and refining industries under the ONGC group.

Trusts (including Post retirement employee benefit trust)

1 MRPL Gratuity Fund Trust

2 MRPL Provident Fund Trust

3 MRPL Education Trust

4 MRPL Jana Seva Trust

5 MRPL Defined Contribution Pension Scheme (MDCPS)

6 ONGC Start Up Fund Trust

Details of Transactions:

Transactions with Holding Company

Oil and Natural Gas Corporation Limited (ONGC)	Nature of Transactions	Year ended March 31, 2024	Year ended March 31, 2023
Sales of products and services provided	Sale of products and associated services, rent and vehicle booking (back-to-back basis)	7,332.49	9,450.18
Purchases of Crude	Purchase of Crude Oil etc.	1,54,614.79	1,19,627.79
Services received	Rent and Electricity Charges for Mumbai & Delhi Office, deputation of ONGC Employees	52.89	78.64
Guarantee Fees	Charges for Guarantee given to Saudi Aramco	15.97	35.63
Dividend	Dividend Paid	1,255.40	-

Interpretation:

The table summarizes the transactions of MRPL with its holding company, ONGC, for the financial years ending March 31, 2024, and March 31, 2023. It includes data on sales of products and services, crude oil purchases, services received, guarantee fees, and dividend payments. Crude oil purchases increased by 29.2%, while sales of products and services, guarantee fees, and services received declined. Dividend payments were introduced in 2024.

Transactions with Entity having significant influence over the Company

Hindustan Petroleum Corporation Limited (HPCL)	Nature of Transactions	Year ended March 31, 2024	Year ended March 31, 2023
Sales	Sale of Oil products etc	3,34,460.89	3,69,252.36
Services provided	Loading arm, pipeline charges etc.	9.25	10.95

Services received	Receipts of contaminated products, Hospitality Charges, Wharfage etc.	92.46	46.10
Dividend	Dividend Paid	297.20	-

Interpretation:

The table highlights transactions between HPCL and a related entity for FY 2024 and FY 2023. Sales of oil products decreased from ₹3,69,252.36 million to ₹3,34,460.89 million, while services provided slightly declined to ₹9.25 million. Services received doubled to ₹92.46 million, and a dividend of ₹297.20 million was paid in FY 2024 million, compared to none in FY 2023.

Transactions with Joint Ventures

Shell MRPL Aviation Fuels and Services Ltd (SMAFSL)	**Nature of Transactions**	**Year ended March 31, 2024**	**Year ended March 31, 2023**
Sales of products	Petroleum Products	19,656.22	14,258.10
Purchase of products	Contaminated Petroleum Products	0.54	0.10
Services provided	a) Royalty Income & reimbursement towards Oxygen Plant	29.30	16.40
Dividend Income	Dividend received	135.00	217.50

Interpretation:

The table summarizes transactions between MRPL and Shell MRPL Aviation Fuels and Services Ltd (SMAFSL) for FY 2024 and FY 2023. Sales of petroleum products increased from ₹14,258.10 million to ₹19,656.22 million, while purchase of contaminated petroleum products ₹0.10 million to ₹0.54 million. Services provided, including royalty income and reimbursements, grew from ₹16.40 million to ₹29.30 million. Dividend income decreased from ₹217.50 million to ₹135.00 million during the period.

Transactions with Other Related Parties

Name	Nature of Transaction	As at March 31, 2024	As at March 31, 2023
a) Services received from:			
1. Mangalore SEZ Limited	Power charges, supply of STP/River water/Marine Outfall/Road repair/Share of corridor road, lease rent, Zone O & M charges	1,050.92	1,181.46
2. Petronet MHB Limited	Pipeline Transportation Charges & other expenses	71.33	63.56
3. ONGC Videsh Ltd	Demurrage	-	16.06
b) Sale of Products to: OPAL	Sale of Products	-	1,806.55
c) Services provided to: Petronet MHB Limit	Reimbursement of Electricity Charges etc.	36.47	40.04

Interpretation:

The table highlights transactions between MRPL and related parties for FY 2024 and FY 2023. Services received from Mangalore SEZ Limited decreased from ₹1,181.46 million to ₹1,050.92 million, while payments to Petronet MHB Limited for pipeline transportation increased from ₹63.56 million to ₹71.33 million. No demurrage charges were recorded in FY 2024, compared to ₹16.06 million in FY 2023 with ONGC Videsh Ltd. Sales to OPAL amounted to ₹1,806.55 million in FY 2023, with none in FY 2024. Reimbursement for electricity charges to Petronet MHB Limited decreased from ₹40.04 million to ₹36.47 million.

Transactions with Trusts

Name	Nature of Transaction	Year ended March 31, 2024	Year ended March 31, 2023
MDCPS of MRPL	Contributions	365.31	-
Provident Fund of MRPL	Contributions	-	583.46
MRPL Education Trust	Contribution to the MRPL Education Trust towards shortfall	63.20	54.68
MRPL Jana Seva Trust	Contribution to the MRPL Jana Seva Trust towards shortfall	52.15	52.64
MRPL Gratuity Fund Trust	Reimbursements from Trust to MRPL	59.76	43.49
MRPL Gratuity Fund Trust	Contributions from MRPL to Trust	150.60	202.90
MRPL Education Trust	Services rendered	2.36	2.15
MRPL Jana Seva Trust	Services rendered	2.36	2.52

Interpretation:

The table shows MRPL's transactions with trusts for FY 2024 and FY 2023. Contributions to MDCPS of MRPL were ₹365.31 million in FY 2024, while contributions to the Provident Fund dropped from ₹583.46 million to zero. Contributions to the MRPL Education Trust increased from ₹54.68 million to ₹63.20 million, and to the MRPL Jana Seva Trust slightly decreased from ₹52.64 million to ₹52.15 million. Contributions to the Gratuity Fund Trust fell from ₹202.90 million to ₹150.60 million, while reimbursements from the trust increased from ₹43.49 million to ₹59.76 million. Payments for services rendered to the Education and Jana Seva Trusts stood at ₹2.36 in FY 2024.

IND AS 116 and Lease Accounting in MRPL

What is lease?

Lease accounting refers to the process of recording and reporting leases within financial statements, based on specific accounting standards. It involves recognizing the assets and liabilities arising from lease agreements, ensuring transparency, and providing relevant financial information to stakeholders.

Lessee accounting model

Under **IND AS 116**, the **right-of-use (ROU) model** is used for accounting leases. This model treats leases similarly to financing arrangements, where the lessee records both an **asset** and a **liability** on the balance sheet.

Right-of-Use (ROU) Asset:

- At the commencement date of the lease, the lessee recognizes a Right-of-Use (ROU) asset.
- The ROU asset is measured at the present value of lease payments, adjusted for initial direct costs, lease incentives received, and restoration costs (if any).

Lease Liability:

- The lease liability is recognized at the present value of future lease payments.
- The lease liability includes fixed payments, variable payments based on an index or rate, and any penalties for early termination, if applicable.
- The discount rate is generally the interest rate implicit in the lease, but if that rate is not readily determinable, the lessee uses their incremental borrowing rate.

Entry should be passed (example)

By Right to use of asset	500000	
By stamp duty, registration fees	20000	
To lease liability		520000

Steps to Calculate Lease Liability:

Calculating the Right-of-Use (ROU) Asset:

The **ROU asset** is initially measured at the same value as the **lease liability**, adjusted for any additional costs associated with the lease.

ROU Asset Calculation:

The formula for calculating the ROU asset is:

ROU Asset=Lease Liability+Initial Direct Costs+Lease Payments Made at Commencement

Subsequent measurement:

1. **Depreciating the ROU Asset:**
   - The ROU asset is depreciated over the shorter of the lease term or the useful life of the asset.
   - This depreciation is recognized in the profit and loss statement.
2. **Amortizing the Lease Liability:**
   - The lease liability is amortized over the lease term using the effective interest method.
   - The lessee records interest expense on the lease liability each period.

Journal Entries for Lessee:
At commencement of Lease:

Lease Liability and ROU Asset Recognition

Dr. Right-of-Use Asset	xxx	
Cr. Lease Liability		xxx

Subsequent Periods:
Interest Expense (calculated on the outstanding lease liability) and Lease Payment

Dr. Interest Expense	xxx	
Cr. Lease Liability		xxx
Dr. Lease Liability	xxx	
Cr. Cash/Bank		xxx
Dr. Depreciation Expense	xxx	
Cr. Accumulated Depreciation		xxx

Classification of Lease :



Subsequent measurement:

1. **Right-of-use (ROU)** asset representing its right to use the underlying leased asset throughout the lease term.
2. **Lease liability** representing its obligation to make lease payments.

The RoU asset is initially measured at cost, primarily comprising of an amount equivalent to the recognized lease liability, and any initial direct costs. The subsequent measurement involves applying depreciation and assessing impairment charges. On the other hand, the lease liability is initially measured at the present value of lease payments. These primarily include fixed and certain variable lease payments. The subsequent measurement of the lease liability is impacted by the accumulation of interest, scheduled repayments, and re-measurements that reflect any lease reassessments or modifications.

Scenario Analysis in MRPL

Example:
Lease term 5 years, Annual lease payment Rs.2000000
Discount Rate 8% based on the corporate bond rate of AAA rated companies.
Determine the present value of lease payment and discuss year wise depreciation and interest expenses.

Step: 1

Calculation of the present value of lease payment

Start date	End date	No of days	Cash outflow	NPV @8%	No of year
01/4/2024	31/03/2025	365	2000000	2000000	1
01/4/2025	31/03/2026	365	2000000	1851852	2
01/04/2026	31/03/2027	365	2000000	1714678	3
01/4/2027	31/03/2028	365	2000000	1587680	4
01/4/2028	31/03/2029	365	2000000	1470048	5
Total				**8624258**	

Formula to calculate NPV:

STEP: -2

$$NPV = \frac{\text{cash outflow}}{1+\text{Rate}}$$

Recognize ROU asset and lease liability

By ROU asset Dr 8624258

To Lease liability Cr 8624258

STEP: - 3

Calculate year wise depreciation and interest expenses

Period	Opening Balance	Lease Payment	Interest Expenses	Closing Balance	Depreciation
1.	8624258	2000000	529940	7154194	1724851
2.	7154194	2000000	412336	5566529	1724851
3.	5566529	2000000	285322	3851852	1724851
4.	3851852	2000000	148148	2000000	1724851
5.	2000000	2000000	0	0	1724851
Total		10000000	1375746		8624255

Note:

Interest expenses formula
= (Opening balance-lease payment) interest rate
Depreciation formula
=RoU asset value / no. of years

Entry to be passed in the lease account towards depreciation and towards interest cost

Depreciation Entry for the Leased Asset:

Under finance lease accounting (following IFRS or similar standards), the lessee would recognize the leased asset and depreciate it over the lease term or useful life, whichever is shorter. The entry to record depreciation is:

Debit: Depreciation Expense (Income Statement) **Credit: Accumulated Depreciation** (Balance Sheet)

Depreciation Expense (P&L) 1724851

Accumulated Depreciation 1724851

Interest Expense on the Lease Liability:

Lease accounting (Finance or Operating lease) involves recognizing a lease liability and interest expense. The interest expense is calculated on the outstanding lease liability. The entry to record the interest cost is:

Debit: Interest Expense (Income Statement)

Credit: Lease Liability (Balance Sheet)

Interest Expense (P&L) 529940

Lease Liability 529940

MATERIALITY CLAUSES

- Leases with a term of 12 months or less are excluded from lease
- Leases having NPV of ₹50 lakhs or less are considered as low value leases and exchange from lease accounting purview.
- Leases having lease rental value of ₹ 500000 or less.

SAP

SAP "System, Application & Products in Data processing" is a German – based European multinational software corporation that makes enterprise software to manage business operation and customer relations.

SAP system compromises of a number of fully integrated modules, which covers almost every aspect of business management.

Advantages of SAP

MRPL is a very large organization and has to manage a vast amount of information or data. The information may be regarding Personnel, Pay roll and Oil Accounting etc. To manage all this information the following system have been developed using SAP: -

1. Human Resource Information System (HRIS)
2. Financial Accounting System (FAS)
3. Payroll and Allowance System (PAS)
4. Oil Accounting System (OAS)
5. Materials Management System
6. Attendance Recording System
7. Production Planning System
8. Telephone Recovery System

ERP (Enterprise Resource Planning)

ERP (Enterprise Resource Planning) is a category of Business Management software which is generally a set of integrated applications that an organization can used to collect, store, manage and interpret data for many activities like:

- Product Planning
- Purchase of Raw materials
- Manufacturing and Service
- Delivery and Shipping
- Inventory Management
- Payment Options

The ERP provides an integrated view of the core business process by using common databases which is maintained by a database management system. The data in an

ERP is generally shown in real time and can be used to track materials, shipments, payments and future requirements. The ERP is also used to store and monitor employee records and also for handling employee payroll, leave request and so on. In an ERP the data in several departments of the organization can be shared among other departments more efficiently which enhances the productivity of the organization. It can also be used to communicate with other business and outside vendors and contractors more efficiently.

Migration of SAP system to S/4 HANA:

MRPL has migrated its SAP system to the latest version of S/4 HANA. S/4 HANA is a future-ready **Enterprise Resource Planning (ERP)** software with built-in analytics for real time insights and faster decision making. It can be easily integrated with latest technologies like AI, Machine learning etc. This upgrade will provide real-time data processing, enabling the organization to make faster and more informed decisions. The new system also comes with advanced analytical features, which will help MRPL to identify trends, improve business processes and make data driven decisions.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Corporate Social Responsibility (CSR) is a business model in which companies integrate social, environmental, and ethical concerns into their operations and interactions with stakeholders. The idea is that businesses should not only focus on maximizing profits for shareholders but also contribute to society in a positive way.

MRPL has upgraded educational infrastructure in coastal Karnataka, improving government schools with modern amenities. MRPL and ONGC also jointly contributed Rs.28.9 crore to build the ONGC- MRPL anniversary wing at Government Lady Goshen Hospital. The hospital has a 162-year history and provides critical medical services to thousands of patients annually from Karnataka and neighboring regions of Kerala.

MRPL has been actively working the fields of education and healthcare. However, it has also been making a positive impact on the lives of differently- abled individual through its artificial limb camps, which have been running for two decades. In 2020 alone, over 3500 people have benefited from MRPL’s support, receiving high-tech

equipment that has renewed their hope and support for leading a normal life. Moreover, MRPL's contribution goes beyond this.

The company has played an important role in rejuvenating lakes, promoting folklore, and supporting the welfare of over 30000 girls in the aspirational districts of Raichur and Yadgiri by installing vending machines and incinerators.

In addition to its main operation MRPL has shown its dedication to preserving the environment by actively promoting greenery. The company has also taken the lead in establishing a unique Greenbelt setup at Pili Kula, which spans over 50 acres. Alongside this, they have created an innovative Bio-diversity Park in partnership with Pili Kula Nisargadhama, located close to the refinery. These initiatives have earned MRPL significant appreciation and goodwill from the local company.

Highlights of statutory provisions

Under section 135 amendment schedule VII of the act, companies including CPSEs, crossing threshold.

- Net worth of the INR 500 crore or more or
- Turnover of INR 1000 crore or more or
- Net profit of INR 5 crore or more are required to discharge the obligations of CSR

Methods to calculate of CSR section 198

At least 2% of the average net profit of the company made during 3 immediately preceding financial year to be spent on CSR activity in every year

Calculation net profit:

Step 1:

Profit before tax year ended 31st march 2021, 2022, 2023 are as given bellow

Year	Profit before tax in millions
2021-22	42388.81
2022-23	55214.13
2023-24	27113.12
Total	**124716.06**

Step 2:

Calculation of average net profit of 3 preceding year

124716.06/3 = 41572.33

2% of average net profit of the company
41572.33*2% = **831.44 core**

Four Layers of Committee

Heads	Maximum limit
GGM HR	Up to 20 lakhs
MD	20-50 lakhs
COD	50-01 crore
BOARD	More than 1 crore

Major CSR Initiatives:

- Development of Public Park at Karkala.
- Construction of Community Hall at Huvina Hadagali, Vijayanagara Dist.
- Construction of Indoor Stadium at Gonikoppal High School Ground, Kodagu Dist.
- Providing Napkin Burning Machine (Incinerator) at Govt. High Schools in Dakshina Kannada
- Providing Drinking Water facility at Government Schools in Dakshina Kannada.
- Millets distribution for HIV inmates and Senior Citizens in Dakshina Kannada.
- Providing water purifier and seating arrangement to passengers in KSRTC Bus Station, Mangalore.
- Artificial Limb camp to the beneficiaries

The CSR budget of MRPL for FY 2023-24 was ` 35.36 Crore and the entire amount has been committed to various CSR initiatives in FY 2023-24. MRPL has identified education, healthcare, infrastructure and environment as focus areas for its CSR engagement for supporting the community. The result of these initiatives is not only a positive change in the community but also an image of the Company as a responsible business entity. Mangalore Refinery & Petrochemicals Limited (MRPL) has been undertaking Corporate Social Responsibility (CSR) activities under the name of “Samrakshan”. This captures the spirit and commitment of MRPL's CSR initiative, which is to “protect, preserve and promote the social, cultural and environmental heritage and wealth in and around the area of our business and to usher in sustainable development”. MRPL is promoting sustainable and equitable development through a well-orchestrated CSR program. MRPL takes up the CSR

Programs under five focus areas, namely:

1. Shiksha Samrakshan
2. Arogya Samrakshan
3. Bahujan Samrakshan
4. Prakrithi Samrakshan
5. Sanskrithi Samrakshan

DIRECT AND INDIRECT TAXES

Constitutional Provision:

Constitution of India is the ultimate law of India. Constitution of India is a permanent document and helps the government system work. Constitution of India sets down the structure describing fundamental political principles, responsibilities and rules of the government institution, creates the procedures' structure and sets out directive principle, fundamental rights and duties of the citizens of India.

Law makings powers of the Central Government and State Government are outlined in the three Lists contained in the Seventh Schedule to the Constitution.

List I which is referred as "Union List" contains the subjects where the Parliament has powers to make laws. List II which is referred as "State List" contains the subjects where the Legislature of particular state has powers to make laws for respective States. Finally, there is a "Concurrent List" where both the Union as well as States may legislate.

It is worthwhile to note that the concurrent list does not contain any item relating to taxing powers.

TYPES OF TAXES:

Taxes can be classified into several types based on different criteria. The primary classifications of taxes are **direct taxes** and **indirect taxes**, but there are various subcategories within each.

Direct Tax

Direct taxes are those that are levied directly on the income, property, or wealth of an individual or entity. The burden of these taxes cannot be transferred to others.

Indirect Tax

Indirect taxes are those that are levied on goods and services rather than on income or profits. The burden of these taxes can be passed on to the consumers.

TAX SYSTEM FOLLOWED BY MRPL

Mangalore Refinery and Petrochemicals Limited (MRPL) is a public sector oil refining company in India, and like other corporations, it follows the Indian tax system while complying with various taxation norms specific to its industry.

Quarterly Advance Tax Payments and Provisions under Sections 234(3) and 234(C)

Quarterly Advance Tax Payments:

As a corporate taxpayer, MRPL is required to pay advance tax in installments during the financial year. This system is in line with the provisions of Section 208 of the Income Tax Act, 1961, which mandates taxpayers to pay taxes in advance, based on their expected income for the year.

The advance tax is divided into four quarterly installments, and the amounts payable for each installment are fixed at a percentage of the total estimated tax liability for the year:

- **15%** of the total estimated advance tax is due by **15th June**.
- **45%** by **15th September**.
- **74%** by **15th December**.
- **100%** by **15th March**.

These percentages ensure that MRPL pays its taxes progressively throughout the financial year, based on the estimated income for that year. The final payment in March brings the total advance tax payment to 100% of the expected tax liability for the year.

Sections 234(3) and 234(C) - Penalties for Deferred or Non-Payment of Taxes:

Section 234(3):
This section deals with the penalty for failure to pay advance tax or if the payment of advance tax is delayed beyond the prescribed due dates. If MRPL fails to pay the full amount of advance tax or makes a late payment, they may be subject to interest penalties.

- **Section 234(C)**:
  - This section specifically applies when the advance tax paid in any of the quarterly installments is less than the prescribed percentage (15%, 45%, or 74%). If MRPL has underpaid in any of the installments, interest is levied for the shortfall amount.
  - For example, if MRPL fails to pay the correct amount of advance tax by the 15th June (15% of the total tax), interest will be charged under Section 234(C).

  The interest is calculated at **1% per month** or part of a month for the period of delay. This is meant to incentivize timely payment of taxes and prevent deferment.

Tax Deducted at Source (TDS) System Followed by MRPL:

Tax Deducted at Source (TDS) is a mechanism under the Income Tax Act where a certain percentage of tax is deducted by the payer (in this case, MRPL) at the time of making a payment, such as salary, rent, or professional fees, to the payee. The tax is deducted at source and remitted to the government.

MRPL, as an employer and payer of various services and contracts, deducts TDS on a wide range of payments. Some examples of payments that may involve TDS include:

- **Salaries** (Section 192): MRPL deducts TDS on employee salaries as per the income tax slab rates.
- **Professional Fees** (Section 194J): MRPL deducts TDS on payments made to professionals like consultants, legal advisors, etc.
- **Contractor Payments** (Section 194C): TDS is deducted on payments made to contractors for works carried out for the company.
- **Interest Payments** (Section 194A): TDS is deducted on interest paid on fixed deposits, loans, or bonds.

TDS Payable and Receivable:

- **TDS Payable**:
  - This refers to the amount of tax MRPL has deducted from its payments to others and must be remitted to the government. It is considered a liability for MRPL until it is paid to the government. The TDS amounts are typically deposited with the government monthly or quarterly, depending on the volume of deductions.
- **TDS Receivable**:

- On the other hand, MRPL may also have TDS receivable in cases where they are the recipient of payments subject to TDS (e.g., if MRPL has provided professional services to another company). In such cases, MRPL can claim a credit for the TDS deducted on their behalf and adjust it against their tax liability for the year.

  The TDS receivable is recorded as an asset in MRPL's books, and it can be adjusted in subsequent tax payments or refunds.

  MRPL files TDS returns periodically (quarterly or annually, depending on the volume), and issues TDS certificates (Form 16/16A) to its employees, contractors, and other recipients of payments where TDS was deducted.

Tax Collected at Source (TCS)

What is TCS?

Tax Collected at Source (TCS) is a system where the seller (in this case, MRPL) collects tax from the buyer at the time of sale of goods or services. This is different from TDS, where the buyer deducts tax at the time of payment to the seller.

TCS is typically applicable to certain goods and transactions specified under the Income Tax Act. For example:

- Sale of Scrap (Section 206C (1)): MRPL, when selling scrap, is required to collect tax at source from the buyer.

In these cases, MRPL charges an additional tax on the sale price, which is collected from the buyer. The buyer then gets a credit for the tax collected when filing their returns.

TCS Payable:

- The TCS collected by MRPL is payable to the government, and MRPL is required to remit this amount within the due dates prescribed by the tax authorities. The TCS collected is deposited with the government and accounted for separately from TDS.

TCS Receivable:

- Unlike TDS, TCS is generally not receivable by MRPL. However, if MRPL purchases goods from a supplier and the supplier has collected TCS on behalf of the government, MRPL can claim this credit while filing its tax return, similar to how TDS works.

Central Sales Tax (CST) Act, 1956 and Its Application at MRPL

The Central Sales Tax Act, 1956 was a legislation introduced by the Government of India to regulate the taxation of inter-state sales (sales that take place between different states in India). Before the implementation of Goods and Services Tax (GST) in 2017, CST was applicable to transactions that involved the movement of goods from one state to another. The CST Act was primarily intended to ensure uniformity in the tax treatment of inter-state sales and to avoid double taxation on goods that were sold across state boundaries.

Under the CST Act, the tax was collected by the state in which the goods were sold, and it applied to sales that involved the transfer of goods between different states. The CST Act provided provisions for the determination of taxable transactions, the rate of tax, the procedure for assessment, and the rules for inter-state trade and commerce.

CST at MRPL

For Mangalore Refinery and Petrochemicals Limited (MRPL), the Central Sales Tax (CST) was relevant in the following ways:

1. Inter-state Sale of Goods:
    - If MRPL sold its products, such as petroleum products (e.g., diesel, petrol, ATF), to buyers located in different states, the transaction would be governed by the CST Act. This means that if MRPL, a company located in Karnataka, sold goods to a buyer in another state, the sale would be considered an inter-state sale under the CST Act.
    - In an inter-state sale, MRPL would charge CST instead of VAT (as VAT applied to intra-state sales) on the goods sold to another state. The CST rate would be applicable based on the provisions of the CST Act.
2. CST Rate:
    - Under the CST Act, the rate of CST was generally 2%, provided the seller (MRPL) and the buyer were both registered dealers under the

CST Act. If the buyer was not a registered dealer, the full VAT rate would apply instead of the reduced CST rate.
    - CST is applicable only for inter-state sales of goods, so if MRPL was selling petroleum products within the state of Karnataka, VAT would be applicable, not CST.
3. Filing CST Returns:
    - MRPL, as a seller of goods across states, was required to file CST returns with the appropriate authorities and comply with the CST payment procedures.
    - MRPL would need to ensure that CST was correctly calculated, and appropriate CST forms were issued to the buyers for inter-state transaction

Forms under the Central Sales Tax (CST) Act

The Central Sales Tax Act required dealers to use various forms for reporting sales, claiming exemptions, and ensuring that inter-state transactions were properly documented. These forms were essential for compliance under the CST regime and included the following:

Form C (Certificate of Exemption)

- Form C was used by the purchaser in an inter-state transaction to claim exemption or reduced tax rates under the CST Act.
- If the buyer was a registered dealer, they could provide a Form C to the seller (MRPL) to purchase goods at the concessional CST rate of 2% rather than the higher VAT rate.
- MRPL would collect Form C from the buyer and maintain it for record-keeping and filing purposes. It was used to verify that the goods were sold to a registered dealer and eligible for a reduced CST rate.

Form F (Transfer of Goods for Processing)

- Form F was used when goods were transferred from one state to another for processing or manufacturing purposes.
- If MRPL transferred goods for processing or manufacturing between different locations (for example, sending crude oil to another facility for further refining), Form F would be used to document the transfer and ensure compliance with the CST Act.

Form El (Sale in the Course of Export)

- Form E1 was used to document sales that were made in the course of export of goods.
- If MRPL sold goods for export (e.g., exporting petroleum products or petrochemicals), this form would be required to provide evidence of the sale being connected with the export activity and qualify for CST exemption.

Form Ell (Sale in the Course of Import)

- Form Ell was used to report sales that were made in the course of import of goods from abroad.
- If MRPL was involved in the import of crude oil or other goods, and sold these goods in the course of import, Form Ell would be necessary for compliance with the CST Act.

Form H (Exemption for Export Sales)

- Form H was used for sales made to exporters who were registered under the Foreign Trade Policy.
- It was required when MRPL made sales to exporters of petroleum products that were meant for export. This would enable the company to claim the exemption from CST on those goods.

Form I (Consignment Sales)

- Form I was used for consignment sales between dealers across states.
- If MRPL transferred goods on a consignment basis to another dealer in a different state, Form I would be used to ensure that the transaction was reported correctly under the CST Act.

Form J (For Goods Sold Under Certain Exemptions)

- Form J was used for sales of goods that were exempt from CST under specific provisions of the CST Act.
- MRPL would use Form J for any inter-state sales that were eligible for an exemption based on the nature of the goods or the transaction type.

Form 31 (CST Return)

- Form 31 was used to file CST returns.

- Dealers, including MRPL, who were engaged in inter-state sales of goods, had to file regular CST returns to the concerned tax authorities, reporting the CST collected during the period, the inter-state transactions, and any exemptions claimed.

CST and the Transition to GST

With the introduction of the Goods and Services Tax (GST) in July 2017, the CST Act was effectively repealed and replaced by the GST system. Under GST, inter-state sales are governed by Integrated Goods and Services Tax (IGST), and the need for CST no longer exists. Here's how the transition works:

- GST is now the unified tax structure for both intra-state and inter-state sales. IGST applies to inter-state sales of goods, and the tax rate for inter-state transactions is decided based on the nature of goods.
- As a result, CST forms (like Form C, Form F, etc.) are no longer applicable under the new GST regime. Instead, MRPL would now be subject to IGST for its inter-state sales, and would need to comply with GST return filing.

Under GST, MRPL would continue to deal with the sale of petroleum products (like petrol, diesel, and ATF) at the state VAT level, while other goods and services are taxed under IGST for inter-state transactions.

RATIOS

For MRPL Ltd., ratios are crucial tools for understanding its financial and operational position. By analyzing profitability, liquidity, solvency, efficiency, and market ratios, stakeholders can make more informed decisions regarding investment, strategy, and growth opportunities. These ratios provide insights not only into MRPL's financial stability but also into its ability to adapt to industry changes, handle market competition, and deliver sustainable growth in the highly volatile oil and petrochemical sector.

FINANCIAL RATIO

A financial ratio is used to calculate a company’s financial status or production against other firms. It is a tool used by investors to analyze and gain information about the finance of a company’s history or the entire business sector. To calculate

financial ration, numbers are taken from the balance sheet, income statement, and cash flow statement.

Financial ratios are important because of them allow stakeholders to:

- Compare and evaluate a company's financial performance.
- Understand a company's financial health and make decisions based on objective information.
- Evaluate performance over time.
- Analyze financial stability, growth potential, and risks.
- Identify market gaps and competitive advantages.

Key financial Ratios are presented bellow:

SL.NO	RATIO NAME	FORMULA	FY 2023-24	FY 2022-23	FY 2021-22	FY 2020-21
1	Debtor Turn Over Ratio	Sales/Average Trade Receivable	25.26	28.35	25.39	12.37
2	Inventory Turn Over Ratio	Sales / Average Inventory	13.95	14.45	9.78	6.05
3	Interest Service Coverage Ratio (ISCR)	EBIDTA / (Interest and Finance Charges Net Of amount transferred To Expenditure During Construction	7.09	5.22	4.14	2.44
4	Current Ratio	Current Assets/ Current Liabilities	1.03	0.99	0.86	0.80
5	Debt Equity Ratio	Total Debt / Shareholders Equity	0.94	1.70	2.93	1.43
6	Operating Profit Margin	(Profit Before Exceptional Item and Tax + Finance Cost- Other Income)/Revenue	7.13	4.88	5.51	(0.35)

		from Operations Net of Exercise Duty on sale of goods				
7	Net Profit Margin	Profit After Tax for The Period / Revenue from Operation Net of Exercise Duty on sale of goods	3.98	2.42	4.24	(0.75)
8	Return on Net worth	(Total Comprehensive Income – Preferred Dividend) / Equity (Net worth)	27.10	26.82	41.11	(3.17)

Competitors of MRPL:

ESSAR

ESSAR is promoted by 'ESSAR GROUP' and it started its operation in 1989, it one of the largest private sector groups in India. A new refinery with a capacity of 10.50 MMTPA is being setup by ESSAR GROUP in Gujarat at a cost oil 8000 crores. It is having significant business in the steel power, shipping oil, telecom sector, ESSAR ail is already set up more than 5000 outlets.

RELIANCE PETROLEUM LIMITED:

Reliance petroleum limited the private sector refinery was commissioned on 14th July 1999 with an installed capacity of 27 MMTPA at Jamnagar spread over 7000 acres of land, as a leading corporate house oil India it is one of the fastest growing firms bin the solid amount of competition to all other petroleum out of $6 billion plant capacity is 540000 barrels per day.

HINDUSTAN PETROLEUM CORPORATION LIMITED:

Hindustan Petroleum Corporation limited is a third integrated refinery and marketing in the country by sales in the market. It came into existence in the year

1947. HPCL has a technology tic up with the EXXON USA for blending and marketing its ESSAR brand lubricants in India.

OIL ACCOUNTING

Oil accounting at Mangalore Refinery and Petrochemicals Limited (MRPL) involves tracking and managing the quantities and financial aspects related to crude oil inputs, processing, and the various products produced at the refinery. The accounting process is critical for ensuring that operations are efficient, compliant with regulations, and financially sound.

Crude Oil Inventory Management:

- **Receipts**: Crude oil is received at the refinery, either through pipelines or tankers. MRPL would track the volume of crude oil received, ensuring accuracy in measuring the quantities.
- **Storage**: The crude oil is stored in tanks before processing. Accurate inventory records are maintained for the quantity of oil in storage, as well as any inventory movements (e.g., transfers, losses due to evaporation, etc.).
- **Inventory Valuation**: Refineries typically use methods like FIFO (First In, First Out) or weighted average cost for valuing their inventory of crude oil. This helps in calculating the cost of crude used in refining.

Crude import

Mangalore Refinery and Petrochemicals Limited (MRPL) sources its crude oil primarily from international markets. Since India does not have sufficient domestic crude oil production to meet its refining needs, companies like MRPL import crude from various oil-producing countries around the world. The primary sources of crude oil imports for MRPL include:

Country	Crude Oil Type	Crude Characteristics
Kuwait	Kuwait Export	A mixture of light and medium sour crude oils, typically high in sulfur content.
Iraq	Basra Light	A medium crude oil with relatively low sulfur content.
	Basra Heavy	A heavier crude oil with higher sulfur content.

	Basra Medium	A blend of medium crude with moderate sulfur levels.
Saudi Arabia	Arab Light	A light crude with a relatively low sulfur content, commonly used in refining.
	Arab-Super Light	A very light crude oil with low sulfur and high API gravity.
	Arab-Extra Light	Lighter than Arab Light, with even lower sulfur content.
	Arab Heavy	A heavier crude with higher sulfur content, requiring more refining.
United Arab Emirates (UAE)	Das	A medium crude with moderate sulfur content.
	Murban	A light crude oil with low sulfur content.
	Upper Zakum	A medium crude with a balanced sulfur level.
Russia	Urals	A medium crude with moderate sulfur content, typically used in European markets.
	Siberian Light	A high-quality light crude oil with low sulfur content.
	Sokol	A very light and crude, highly valued for its low sulfur content.
Nigeria	Bonny Light	A light crude oil with very low sulfur content.
Angola	Girasol	A high-quality light crude oil.
Kazakhstan	Tengiz	A sour crude with high sulfur content, requiring extra processing.
Venezuela	Merey	A heavy crude oil with high sulfur content.

Nature of Contract

FOB (Free on Board)

- In an FOB contract, the seller's responsibility is to deliver the goods to the ship (or another agreed transport) at the designated port of shipment. Once the goods are loaded onto the vessel, the risk and cost transfer to the buyer.

CFR (Cost and Freight)

- In a CFR contract, the seller is responsible for paying for the costs of transporting the goods to the port of destination, but the risk transfers to the buyer once the goods are loaded onto the vessel at the port of shipment.

DAP (Delivered at Place)

- Under a DAP contract, the seller is responsible for delivering the goods to a specified place (often a port or warehouse) at the buyer's destination. This means the seller takes on most of the transportation risk and costs until the goods reach the agreed location.

Import of Payment Related to Goods and Services

Vender Payment System

A **vendor payment system** is a process through which a company (the buyer) makes payments to its vendors or suppliers for goods or services provided. This system is a crucial part of accounts payable (AP) and is designed to ensure timely and accurate payments while maintaining a good relationship with suppliers.

In the oil and refinery industry, MRPL in Mangalore maintains a significant Vendor Payment System valued Between 500 to 700 crores. Serving as a financial cornerstone, this system ensures the smooth execution of procurement processes, from initiating order to the final disbursement of funds. Rigorous security protocols are integrated to uphold precision and efficiency. The report aims in exploring vendor payment system and its critical role and each facet contributing to its integral position within the organizational financial framework.

Steps are involved as below:

1. Ascertain the requirement
2. Raise the purchase request
3. Find the prospective vendor
4. Options of vendors
5. Material department
6. Announcement of cutoff date and time
7. Submission of beats
8. Selection of vendors by ranking low to high

Major Kinds of Payment

1. CAD (Cash Against Documents)

2. LC (Letter of Credit)
3. Direct Payments

Documents Required for the basic payments

1. Invoice
2. Bill of Lading
3. Certificate of Origin
4. Customer Clearance
5. Packing list

Comprises of payment

1. Invoice of payment
2. Custom duty payment
3. CHA Charges
4. Insurance

Modes of Transport of Product

Pipeline

MRPL uses pipelines for the transportation of crude oil from the port to the refinery. The pipeline network is a crucial mode for the continuous and efficient movement of large quantities of oil over long distances.

Marine (Ships/Tankers)

As MRPL is located near the coastline, crude oil is also transported via tankers. Ships bring crude oil from international ports to the Mangalore Port, where it is then offloaded and transported to the refinery.

Rail

Railways are sometimes used for the transportation of refined products and crude oil, particularly for areas that may not be easily served by pipelines or where large quantities are needed for inland distribution.

Road Transport (Trucks)

Trucks or tankers are used for the transportation of refined petroleum products to local markets, industries, and retail outlets. This method is particularly important for shorter distances or where other modes of transport may not be feasible.

Accounting Standard and Notes to standalone financial statement

Introduction:

All the Indian Accounting Standards issued and notified by the ministry of corporate affairs under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) till the financial statements are authorized have been considered in preparing their financial statements.

As on the reporting date, there were no new Indian Accounting Standards (Ind.AS) issued by the Ministry of Corporate Affairs (MCA) which would have been applicable from April 1, 2023. MCA has amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendments Rules, 2023 applicable from April 1, 2023.

Statement of Compliance:

These financial statements have been prepared in accordance with the Indian Accounting Standards as prescribed under section 133 of the companies act, 2013 read with companies (Indian Accounting Standards) rules as amended from time to time and the presentation requirements of Division of schedule to the companies act, 2013, as applicable to the financial statements.

Basis of preparation:

The financial statements have been prepared on going concern basis on the historical cost convention using accrual system of accounting except for certain assets and liabilities which are measured at fair value/ amortized cost/ net present value at the end of each reporting period, as explained in the accounting policies below. The transition was carried out from Generally Accepted Accounting Principles in India (Indian GAAP) as prescribed under section 133 of the companies act, 2013, read with Rule 7 of the companies (accounts) rule, 2014, which was the “previous GAAP”.

STANDALONE BALANCE SHEET AS AT MARCH 31, 2024

(All amounts are in ₹ million unless otherwise stated)

Particular		Note No.	As at March 31,2024	As at March 31,2023
	ASSETS			
1.	**Non-Current Assets**			
	a) Property, Plant and Equipment		1,93,030.27	1,92,740.73
	b) Right-of-use Assets		7,188.49	7,313.43
	c) Capital Work-in-Progress		7,214.08	4,748.06
	d) Investment Property		77.96	77.96
	e) Goodwill		3,772.78	3,772.78
	f) Other Intangible Assets		29.74	52.67
	g) Intangible Assets under Development		224.58	-
	h) Financial Assets			
	a. Investment in Joint Venture		150.00	150.00
	b. Other Investment		23.00	10.93
	c. Loans		1,477.76	1,246.02
	d. Other Financial Assets		2,000.55	623.81
	i) Income Tax Assets (net)		1,046.94	126.35
	j) Deferred Tax Assets (net)		2,845.32	12,430.98
	k) Other Non-Current Assets		7,630.90	8,701.84
	Total Non-current Assets (1)		**2,26,712.37**	**2,31,995.56**
2.	**Current Assets**			
	a) Inventories		83,060.29	67,766.31
	b) Financial Assets			
	a. Trade Receivables		38,601.42	44,693.91
	b. Cash and Cash Equivalent		97.28	68.01
	c. Bank Balance other than (b) above		288.78	321.15
	d. Loans		251.64	217.63
	e. Other Financial Assets		29.14	112.79
	c) Current Tax Assets (net)		-	1,089.87
	d) Other Current Assets		4,850.58	4,640.14
	Sub-total current assets		**1,27,179.13**	**1,19,710.81**
	Non-current Assets held for sale		**98.55**	**-**
	Total Current Assets (2)		**1,27,277.68**	**1,19,710.81**
	TOTAL ASSETS (1+2)		**3,53,990.05**	**3,51,706.37**
	EQUITY AND LIABILITIES			
1	**Equity**			
	a. Equity Share Capital			17,526.64
	b. Other Equity			80,819.95
	Total Equity (1)			**98,346.59**
	LIABILITIES			
2	Non-Current Liabilities			
	a. Financial Liability			
	i. Borrowing		89,121.88	1,24,179.57
	ii. Lease Liability		2,110.28	2,058.76
	b. Provisions		1,971.09	1,608.02
	c. Other Non-current Liabilities		4,613.68	4,458.54
	Total Non-current Liabilities (2)		**1,23,658.24**	**1,32,304.89**
3	Current Liabilities			
	a) Financial Liabilities			
	i. Borrowing		35,395.55	42,894.10
	ii. Lease liability		242.56	257.94
	iii. Trade Payables			
	i. Total outstanding dues of micro enterprises and small enterprises		491.74	573.46
	ii. Total outstanding dues of creditors other than micro enterprises and small enterprises			
	iv. Other Financial Liabilities		71,544.24	61,114.16

	b) Other Current Liabilities		8,118.94	7,552.58
	c) Provisions		4,905.27	5,079.35
	d) Current Tax Liabilities		2,232.91	3,032.59
			727.03	550.71
	Total Current Liabilities (3)		**1,23,658.24**	**1,21,054.89**
4	**Total Liabilities (2+3)**		**2,21,475.17**	**2,53,359.78**
	TOTAL EQUITY AND LIABILITIES (1+4)		**3,53,990.05**	**3,51,706.37**

STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2024

(All amounts are in ₹ million unless otherwise stand)

Particular		Note No.	Year ended March 31, 2024	Year ended March 31, 2023
	Income:			
1	Revenue from Operations		10,52,232.78	12,47,360.30
2	Other Income		2,050.84	2,117.17
3	**Total Income (1+2)**		**10,54,283.62**	**12,49,477.47**
4	**Expenses:**			
	Cost of materials consumed		8,07,905.76	9,73,835.68
	Purchases of Stocks-in-trade		47.77	52.72
	Changes in Inventories of finished Goods, Stocks-in-Process & Scrap		(10,754.85)	12,802.75
			1,48,165.97	1,57,100.27
	Excise Duty		7,720.63	6,977.73
	Employee Benefits Expense		11,138.45	12,852.63
	Finance Costs		12,572.85	11,866.99
	Depreciation and Amortization Expenses		22,190.01	31,624.89
	Other Expenses			
	Total Expenses		**9,98,986.59**	**12,07,113.66**
5	**Profit/ (Loss) Before Exceptional Items and Tax (3-4)**		**55,297.03**	**42,363.81**
6	**Exceptional Items (Income)/ Expenses (net)**		**82.90**	**(25.00)**
7	**Profit/ (loss) Before Tax (5-6)**		**55,214.13**	**42,388.81**
8	**Tax Expenses**			
	1) Current tax			
	a. Current year		9,647.90	7,429.37
	b. Earlier years		(5.79)	0.01
	2) Deferred tax		9,612.65	8,575.50
	Total Tax Expenses (8)		**19,254.76**	**16,004.88**
9	**Profit/ (loss) for the year (7-8)**		**35,959.37**	**26,383.93**
10	**Other Comprehensive Income**			
	Items that will not be reclassification of Profit or Loss			
	a. Remeasurement of the Defined Benefit Plans		(77.24)	(16.19)
	b. Income Tax relating to above		26.99	5.66
	Total Other Comprehensive Income (9)		**(50.25)**	**(10.53)**
11	**Total Comprehensive Income for the year (9+10)**		**35,909.12**	**26,373.49**
12	Earnings Per Equity Share:			
	1) Basic (in ₹)		20.52	15.05
	2) Diluted (in ₹)		20.52	15.05

STANDALONE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31,2024

(All amounts are in ₹ million unless otherwise stated)

Particular		Note No.	Year ended March 31,2024	Year ended March 31, 2023
A	**CASH FLOW FROM OPERATING ACTIVITIES**			
	Profit/(Loss) After Tax		**35,959.37**	**26,383.93**
	Adjustment for:			
	Tax Expenses		19,254.76	16,004.88
	Depreciation and Amortization expenses		12,572.85	11,866.99
	Loss/ (Profit) on discard/disposal of Property, Plant and Equipment (net)		1,433.49	180.49
	Excess Liability/provision written back		(1,525.05)	(1,024.99)
	Provision/ impairment		31.87	45.56
	Write offs		27.47	540.89
	Exchange Rate Fluctuation (net)		759.31	2,031.58
	Finance costs		11,138.45	12,852.63
	Interest Income		(149.44)	(166.51)
	Dividend Income/Fair Value Gains		(146.07)	(217.50)
	Amortization of Prepayments		7.38	6.75
	Amortization of Deferred Government Grant		(466.74)	(273.90)
	Others		(77.24)	(27.71)
			78,820.41	**68,203.09**
	Movements in Working Capital			
	• (Increase)/ Decrease in Trade and Other Receivables		6,118.04	(1,427.12)
	• (Increase)/ Decrease in Loans		(265.75)	(143.59)
	• (Increase)/ Decrease in Other Assets		(264.78)	(491.25)
	• (Increase)/ Decrease in Inventories		(15,762.48)	37,066.34
	• Increase/ (Decrease) in Trade payables and other liabilities		11,306.50	(31,905.68)
	Cash generated from Operations		**79,951.94**	**71,301.79**
	Income Taxes paid, net of refunds		(9,501.50)	(7,658.03)
	Net Cash generated from/ (used in) Operations	**(a)**	**70,450.44**	**71,301.79**
B	**CASH FLOW FROM INVESTESTING ACTIVITIES**			
	Payments for Property, Plant and Equipment		(15,560.43)	(7,027.76)
	Capital Grants Received		50.88	-
	Proceeds from disposal of Property, Plant and Equipment		144.59	1.88
	Interest received		65.95	105.99
	Dividend received from Joint Venture		135.00	217.50
	Investments		-	(3.15)
	Tax Paid on Interest/ Dividend Income		(14.79)	(26.80)
	Net Cash generated from/ (used in) Investing Activities	**(b)**	**(15,178.80)**	**(6,732.34)**
C	**CASH FLOW FROM FINANCING ACIVITIES**			
	Proceeds from Long Term Borrowings		1,858.12	6,139.09
	Repayments of Long-Term Borrowings		(51,349.69)	(24,026.69)
	Proceeds/ (Repayment) from Short Term Borrowings		6,517.09	(27,544.99)
	Payment of Lease Rentals (Principal Component)		(89.64)	(76.88)
	Payment of Lease Rentals (Interest Component)		(185.01)	(188.70)
	Finance Costs Paid		(10,240.64)	(11,200.48)
	Dividend Paid on Equity Shares		(1,752.60)	-
	Net Cash generated from/ (used in) Financing Activities	**©**	**(55,243.37)**	**(56,898.65)**

	Net Increase/ (Decrease) in cash and cash equivalent	**(a+b+c)**	**29.27**	**12.77**
	Cash and Cash Equivalents as at the beginning of the year		**68.01**	**55.24**
	Cash and Cash Equivalents as the end of the year		**97.28**	**68.01**
	Net Change in Cash and cash Equivalents (Closing-Opening)		**29.27**	**12.77**

Notes:

Goodwill:

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any. Goodwill arising on amalgamation of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any. For the purposes of impairment testing, goodwill is allocated to company's cash-generating units that is expected to benefit from the synergies of the combination. A Cash Generating Unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired.

Particular	Amount
Balance as at April 1, 2022	3772.78
Impairment	-
Balance as at March 31, 2023	3772.78
Impairment	-
Balance as at March 31, 2024	3772.78

Revenue recognition:

Revenue from sale of goods and services are recognized upon the satisfaction of a performance obligation, which occurs when control transfers to the customer. Control of the goods is determined to be transferred to the customer when the title of goods passes to the customer, which typically takes place when product is physically transferred into a vessel, pipeline (other than company owned pipeline) or other delivery mechanism.

Leases:

Company as lease:

IndAS116 at the date of commencement of the lease, the company recognizes a Right of Use Assets (ROU Assets) and a corresponding Lease Liability for all lease contracts/ arrangements in which it is a lessee, except for lease liability for all lease with a term of twelve months or less (i.e., short term leases) and lease of low value assets. For these short-term and low value leases, the company recognize the lease payments on straight-line basis over the term of the lease.

Foreign currency transaction:

The Company's Financial Statements are presented in Indian rupee (₹), which is also its functional currency. Transactions in currencies other than the company's functional currency (foreign currencies) are recognized at the rates of exchanges prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are translated using closing exchange rate prevailing on the last day of the reporting period.

Borrowing or Financial costs:

Borrowing or Financial costs consists of interests and other costs incurred in connection with borrowing of funds and interests on lease liability. Borrowing costs also include exchange differences arising from foreign currency borrowing to the extent regarded as an adjustment to interest cost i.e., equivalent to the extent to the which the exchange loss does not exceed the difference between the cost of borrowing in functional currency when compared to the cost of borrowing in a foreign currency.

Particular	As at March 31, 2024		As at March 31, 2023	
	Non-Current	Current	Non-Current	Current
Secured- at amortized cost				
Term Loans: -				
From banks				
External Commercial Borrowing (ECB)	-	-	-	4,232.44
Foreign Currency Borrowings	3,601.36	1,334.56	20,729.87	5,555.03
From others				
Oil Industry Development Board (OIDB)	138.12	815.63	953.75	1,485.63
Interest Free Loan from Government of Karnataka	914.27	-	820.62	-
Loan repayable on demand: -				
From banks	-	4,521.88	-	180.26
Unsecured- at amortized cost				
Debentures: -				
Non-Convertible Debentures (NCD)	44,758.06	-	44,755.24	5,000.00
Term loan: -				
From Banks				
Rupee Term Loan from bank	-	-	9,711.22	2,500.00
Foreign Currency Term Loan (FCNR)	-	1,251.15	1,232.62	6,984.88
External Commercial Borrowings (ECB): Working Capital	37,306.00	8,341.00	44,876.98	-
Deferred Payment Liabilities: -				
From Government of Karnataka	2,404.07	-	1,099.27	-
Loan repayable on demand: -				
From banks				
Other Working Capital Loan				

	-	19,131.33	-	16,955.86
Total	**89,121.88**	**35,395.55**	**1,24,179.57**	**42,894.10**

Government Grants:

It including the export incentives are not recognized until there is reasonable assurance that the company will comply with the conditions attached to them and that the grants will be received. Government Grants are recognized in statement of profit & loss on a systematic basis over the periods in which the company recognizes as expenses the related costs for which the grants are intended to compensate. Specifically, Governments Grants whose primary condition is that the company should purchase, construct, or otherwise acquire non-current assets are recognized as deferred revenue in the balance sheet and transferred to statement of profit and loss on a systematic and rational basis over the useful lives of the related assets.

Income Taxes: -

Income Tax Expense represents the sum of the Current Tax and Deferred Tax.

a) **Current Tax: -**

The tax currently payable is based on taxable profit for the year together with any adjustment to tax payable in respect of previous years. Taxable profit differs from "Profit Before Tax" as reported in the statement of profit and loss because of items that are never taxable or deductible. The company's current tax is calculated using tax rates that have been enacted by the end of the reporting period.

b) **Deferred Tax: -**

It is provided using the balance sheet method and is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all deductible temporary differences, the carry forward of unused tax losses to the extent that it is against which those deductible temporary differences, the carry forward of unused tax losses can be utilized.

Statement showing the movement in Deferred Tax Assets/ (Liabilities)

Particulars	As at March 31, 2024	As at March 31, 2023
Deferred Tax Assets	45,813.89	55,650.92
Deferred Tax Assets	(42,968.57)	(43,219.94)
Deferred Tax Asset/ (Liability)- Net	2,845.32	12,430.98

FV 2023-24	Opening balance	Recognized in profit or loss	MAT credit entitlement related to previous year	Recognized in other comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to			-	-	(42,967.89)
Property, Plant and Equipment	(43,215.07)	247.18			
and Intangible Assets					
Others	(4.87)	4.19	-	-	(0.68)
Total	(43,219.94)	251.37	-	-	(42,968.57)
Tax effect of items constituting Deferred Tax Assets	351.76	197.02	-	-	548.78
Other Liabilities					
Brought forward	25,326.53	(19,654.38)	-	-	5672.15
business losses and	29,458.52	9,647.90	0.99	-	39,107.41
unabsorbed depreciation	105.33	21.09	-	-	126.42
MAT credit entitlement					
Right of Use Assets net	390.38	(33.32)	-	-	357.06
of Lease Liability	18.40	(16.33)	-	-	2.07
Financial and Other					
Assets	-	(26.99)	-	26.99	-
Inventories					
Remeasurement of the Defined Benefit Plans					
Total	55,650.92	(9,865.01)	0.99	26.99	45,813.89
Deferred Tax Assets/(Liability) (Net)	12,430.98	(9,613.64)	0.99	26.99	2,845.32

FY 2022-23	Opening Balance	Recognized in profit or loss	MAT credit entitlement related to previous year	Recognized in other comprehensive Income	Closing balance
Deferred Tax Liabilities in relation to					
Property, Plant and Equipment	(42,415.54)	(799.53)	-	-	-
and intangible assets	(8.03)	3.16	-	-	-
Others					
Total	(42,423.57)	(796.37)	-	-	-
Tax effect of items constituting Deferred Tax Assets					
Other Liabilities	427.13	(75.37)	-	-	-
Brought forward business losses and unabsorbed depreciation	40,447.63	(15,121.10)	-	-	-
MAT credit entitlement	22,029.14	7,429.38	-	-	-
Right of Use Assets net of Lease Liability					
Financial and Other Assets					
Inventories	35.76	69.57	-	-	-
Remeasurement of the Defined	464.30	(73.92)	-	-	-
Benefit plan	20.43	(2.03)	-	-	-
	-	(5.66)	-	-	-
Total	63,424.39	(7,779.13)	-	-	-
Deferred tax asset/ (liability) (net)	21,000.82	(8,575.50)	-	-	-

Property, Plant and Equipment and Right to Use Assets

Property, Plant and Equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the balance sheet at cost less accumulated impairment losses if any. Freehold land is not depreciated. Property, Plant and Equipment in the course of construction for production, supply or administrative purposes are carried at cost, less any recognized impairment loss. Such properties are classified to the appropriate categories of PPE when completed and ready for intended use. Parts of an item of PPE having different useful lives and material value as assessed by management and subsequent capital expenditure on property, plant and equipment are accounted for as separate components. Subsequent

Net Carrying Amount	As at March 31,2024	As at March 31,2023
Freehold Lands	54.91	54.91
Buildings	7,877.36	7,986.76
Plant and Equipment	1,83,797.90	1,83,298.11
Railway Sidings	1,056.63	1,153.28
Furniture and Fixtures	189.65	185.40
Vehicles	20.51	24.46
Office Equipment	33.31	37.81
Total	**1,93,030.27**	**1,92,740.73**

expenditure is capitalized only if it is probable that the future economic benefits associated with the expenditure will flow to the company.

Accumulated depreciation	Freehold lands	Buildings	Plant and Equipment	Railways sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1,2022	-	1,288.42	68,121.40	301.96	308.63	97.88	479.24	70,597.53
For the year Deduction/Reclassification	- -	335.52 138.32	11,062.97 76.52	97.35 -	49.54 (11.44)	5.40 (43.23)	13.04 (456.07)	11,563.82 (295.90)
Balance as at March 31, 2023	-	1,762.26	79,260.89	399.30	346.73	60.05	36.21	81,865.45
Additions Deduction/ Reclassification	- -	337.13 (0.17)	11,750.38 (2,502.84)	96.86 (0.21)	68.35 (29.77)	5.81 (3.55)	12.76 (7.04)	12,271.29 (2,543.58)
Balance as at March 31, 2024	-	2,099.22	88,508.43	495.96	385.31	62.31	41.93	91.593.16

Gross Carrying Amount	Freehold lands	Buildings	Plant and Equipment	Railway sidings	Furniture and Fixtures	Vehicles	Office Equipment	Total
Balance as at April 1, 2022	54.91	8,957.12	2,60,807.11	1,665.87	514.38	176.63	913.48	2,73,089.50
Additions Deduction/ Reclassification	- -	150.06 641.84	1,897.77 (145.88)	- (113.28)	30.18 (12.43)	5.45 (97.57)	24.82 (864.28)	2,108.28 (591.60)
Balance as at March 31, 2023	54.91	9,749.02	2,62,559.00	1552.59	532.13	84.51	74.02	2,74,606.18
Additions Deduction/ Reclassification	- -	228.32 0.76	13,924.62 (4,177.29)	0.74 (0.74)	73.13 (30.30)	2.13 (3.82)	8.52 (7.30)	14,237.46 4,220.21
Balance as at March 31, 2024	54.91	9,976.58	2,72,306.33	1,552.59	574.96	82.82	75.24	2,84,623.43

Depreciation:

It is provided on the cost of PPE (other than Freehold Land and properties under construction) less their residual values over their residual values over their useful lives using lives using straight line method i.e., from date of acceptance of material and continuing over the shorter of its useful life or the remaining expected useful life of the asset to which it relates.

Intangible Assets:

Intangible assets other than Goodwill

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortization and accumulated impairment losses, if any. Amortization is recognized on a straight-line basis over their estimated useful lives.

The estimated useful life and amortization method are reviewed at the end of each reporting period.

Intangible assets other than Goodwill

Net Carrying Amounts	As at March 31,2024	As at March 31,2023
Computer software	29.74	50.47
License and Franchise	-	2.20
Total	**29.74**	**52.67**

Impairment of non-financial assets: -

The company reviews that carrying amounts of its non-financial assets other than inventories, deferred tax assets, non-current assets classified as held for sale and goodwill at the end of each reporting period to determine whether there is any significant indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). The company estimates the recoverable amount of Cash Generating Unit (CGU) to which the asset belongs.

Particulars	As at March 31,2024	As at March 31,2023
Non-current Assets held for sale	98.55	-
Total	**98.55**	**-**

Statement of cash flows: -

Reported using the indirect method, whereby profit after tax is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing activities. The cash flows are segregated into operating, investing, and financing activities.

Provision, Contingent liabilities, Contingent assets and Commitments: -

Provisions are recognized when the company has a present obligation (legator constructive) as a result of a past event, it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation, and a reliable estimate can be made of the amount of the obligation. If the effect of time value of money is material, provisions are discounted using an appropriate pre-tax discount rate.

Investment property: -

Investment property (land & building or part of a building or both) are properties held to earn rentals and/or for capital appreciation or for both, but not for sale in the ordinary course of business, use in production or supply of goods or services or for administrative purposes. Subsequent to initial recognition investment properties are measured in accordance with Ind AS 16 requirements for cost model.

Net Carrying amount	As at March 31, 2024	As at March 31, 2023
Freehold land	77.96	77.96
Total	**77.96**	**77.96**

Inventories:

Inventories are valued at lower of cost and net realizable value. Cost of inventories comprises of purchase cost and other costs incurred in bringing inventories to their present location and condition.

Raw material(crude)	**First In First Out basis**
Other raw material	**On weighted Average cost basis**
Finished goods	**At Raw material and conversion basis**
Stock-in-trade	**On Weighted Average cost basis**
Stock-in-process	**At Raw Material and proportionate Conversion Cost**
Stores and spares including packaging materials	**On Weighted Average Cost basis**

Non-current Assets held for sale:

Non-current Assets are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through a sale transaction rather than through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the assets and the assets is available for immediate sale in its present condition subject only to terms that are usual and customary sale of such assets.

Particulars	As at March 31, 2024	As at March 31, 2023
Non- Current Assets held for Sale	98.55	-
Total	98.55	-

Employment benefits:

It includes salaries, wages, contributory provident fund, gratuity, leave encashment towards un-availed leave, compensated absences, post-retirement medical benefits and other terminal benefits.

CONCLUSION

MRPL is one of the major crude oil refinery units of the country and it is the only refinery unit in Karnataka. The opportunity to undertake our internship at MRPL provided us with insights about the operations of large-scale manufacturing unit. It was a great experience to know about the various measures undertaken by MRPL at the plant, the systematic and organized manner in which each operation of the company is undertaken.

MRPL, which initially started as a private sector enterprise ran successfully for a few years, but eventually as government policies changed the company started facing losses. ONGC became a partner to the unit in the year 2003. MRPL has been collecting sales taxes from the customers and paying the collected sales tax to the commercial tax department on time. The sales tax amount has been paid by the MRPL on 20th of every month. There has been no delay in terms of payment being made to the commercial tax department. MRPL has also been manufacturing good qualitative products to its customers and also satisfying the needs of the customers. MRPL's customer base has been increasing as it provides good quality products and services to the customers. Sales tax also provides certain exemptions and incentives to the MRPL and it helps MRPL to recover the capital cost in a phased and time bound manner which is very much necessary in a capital-intensive industry like petroleum refining

Learning Experience

The experience in the MRPL during our one month of internship period was fruitful. We came to know, how the practical and theoretical knowledge which we study in college helps us in corporate. We had to implement that practical and theoretical knowledge into work in MRPL. Internship at MRPL had provided us a tremendous way of connecting practical and theoretical knowledge to real life work and make learning experiential. Internship had helped us in improving our communication skills, various accounting practices, better understanding ability, and approach to work, etc. It had also helped us in following the rules and regulations of the company and good work ethics.

We used to have some sessions organized by Mr. Buri Parashuram, General Manager of Finance Department in MRPL. The sessions gave us various insights about MRPL accounting practices.

We came to know about the letter of credit concept in MRPL, where bank stands as a guarantee in order to pay the customer's bill.

We had a wonderful experience in MRPL wherein we believe that the concepts and knowledge which we gained in MRPL is going to help us in the future.

TEN YEAR PERFORMANCE AT A GLANCE

	Ind AS 2023-24	Ind AS 2022-23	Ind AS 2021-22	Ind AS 2020-21	Ind AS 2019-20	Ind AS 2018-19	Ind AS 2017-18	Ind AS 2016-17	IGAAP 2015-16	IGAAP 2014-15
What we owe										
Equity Share Capital	17526.64	17526.64	17526.64	17526.64	17526.64	17526.64	17526.64	17526.64	17526.64	17526.64
Other Equity	114988.24	80819.95	54436.73	24854.40	60141.61	89743.65	92814.09	83178.11	46677.80	35522.95
Net Worth	132514.88	98346.59	71963.37	42381.04	77668.25	107270.29	110330.73	100704.75	64204.44	53049.59
Borrowings	124517.43	167073.67	210851.77	238332.78	118960.72	91310.39	79501.65	85409.61	81028.40	90324.65
Deferred Tax Liability/(Asset)(Net)	(2845.32)	(12430.98)	21000.82)	(13775.44)	(3152.13)	10155.44	9061.70	4766.63	806.31	-
TOTAL	**254186.99**	**252989.28**	**261814.32**	**266938.38**	**193406.84**	**208736.12**	**198894.08**	**190880.99**	**146039.14**	**143374.24**
what we own										
PPE, ROU Asset, Intangible and Goodwill (Including Capital WIP and Intangible Assets Under Development) excluding Investment Property	304600.90	291736.96	287046.58	280175.17	194716.12	177357.71	167426.17	157688.90	226935.30	223190.91
Less: Depreciation and Amortisation	93140.96	83109.29	71588.76	60858.10	35099.46	27649.10	20445.65	13884.30	75889.89	68323.33
Net Carrying Amount	211459.94	208627.67	215457.82	219317.07	159616.66	149708.61	146980.52	143804.60	151045.41	154867.58
Investments	173.00	160.93	154.99	154.99	21779.23	15026.47	13496.42	13496.42	13496.73	13496.73
Current and Non-Current Assets/ (Liability) (Net)	42554.05	44200.68	46201.51	47466.32	12080.95	44001.04	38417.14	33579.97	(18502.99)	(24990.07)
TOTAL	**254186.99**	**252989.28**	**261814.32**	**266938.38**	**193476.84**	**208736.12**	**198894.08**	**190880.99**	**146039.15**	**143374.24**
Income										
Sales (Net of Excise Duty on Sales)	903004.43	088056.59	697303.82	319026.60	509786.40	620301.12	484340.12	431924.35	396320.40	574381.45
Other Income	2386.82	2621.59	1301.78	1569.78	1283.38	1872.90	2211.39	4386.38	8725.24	8101.56

Changes in inventories of finished goods, stock- in - progress, stock-in-trade & Scrap	10754.85	(12802.75)	13732.96	13848.06	(13474.20)	5616.39	7667.19	2883.03	(6831.66)	(18861.34)
TOTAL	**916146.10**	**1077875.43**	**712338.56**	**334444.44**	**497595.58**	**627790.41**	**494218.70**	**439193.76**	**398213.98**	**563621.67**
Expenditure										
Cost of Materials Consumed	807905.76	973835.68	636371.46	291781.54	466242.67	585137.08	432481.63	374887.61	346504.26	558860.55
Purchase of Stock-in-trade	47.77	52.72	5.12	11931.73	33520.79	5260.88	-	-	-	-
Excise Duty on Stock (net)	(726.40)	(1699.02)	(849.20)	3511.29	(2493.88)	455.39	1141.16	3520.06	3061.41	2407.42
Employee Benefits Expense	7720.63	6977.73	6976.16	5782.69	4401.22	4286.56	4173.45	3520.06	3061.41	2407.42
Exchange fluctuation (net): loss / income	1325.94	13375.38	2557.27	(1171.55)	6872.12	2919.37	(128.43)	15379.74	11902.67	6835.01
Other expenses	20946.97	18224.51	17244.08	14634.88	13348.96	11638.47	11926.07	9575.86	10519.18	7103.78
Finance costs	11138.45	12852.63	12073.09	5544.72	7446.61	4717.49.	4404.57	5171.74	5778.35	4070.88
Depreciation and Amortization expense	12572.85	11866.99	10877.24	11580.35	7832.08	7567.52	6713.21	6779.19	7124.05	4986.10
TOTAL	**860931.97**	**1035486.62**	**685255.22**	**343595.65**	**537170.57**	**621982.76**	**460711.66**	**383879.56**	**386478.88**	**585180.59**
Profit before tax	55214.13	42388.81	27083.34	(9151.21)	(39574.99)	5807.65	33507.04	55314.20	11735.10	(21558.92)
Tax Expense	19254.76	16004.88	(2469.40)	(1539.56)	(12171.53)	2488.09	11265.81	18877.33	253.51	(4436.58)
Profit after tax	35959.37	26383.93	29552.74	(7611.65)	(27403.46)	3319.56	22241.23	36436.87	11481.59	(17122.34)
Total Comprehensive income	35909.12	26373.40	29584.22	(7590.79)	(27489.19)	3274.35	22274.43	36386.53		
Dividend	5257.80	-	-	-	-	1752.60	5257.80	10515.59	-	-
Dividend Distribution Tax	-	-	-	-		360.25	1080.76	2140.73	-	-
GRM ($/bbl.)	10.36	9.88	8.60	3.90	(0.23)	4.06	7.54	7.75	5.20	(0.64)